October 22, 2026

Cholamandalam Investment and Finance Company Limited: Ratings reaffirmed for PTCs issued under vehicle loan securitisation transaction

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Amount O/s after last surveillance (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
PLATINUM TRUST JUN 2025 - TRANCHE I	PTC Series A	2,520.10	NA	1,470.72	[ICRA]AAA(SO); reaffirmed	RBI
	PTC Series B	132.64	NA	77.41	[ICRA]AAA(SO); reaffirmed	RBI
	Second Loss Facility	39.79	NA	53.05**	[ICRA]A-(SO); reaffirmed	RBI

Instrument details are provided in Annexure I;

*** Amount for second loss facility revised from 1.50% of the initial pool principal to 2.00% of the initial pool principal as per executed transaction documents (i.e. from Rs. 39.79 crore to Rs. 53.05 crore)*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The pass-through certificates (PTCs) are backed by vehicle loan receivables originated by Cholamandalam Investment and Finance Company Limited (CIFCL/Originator; rated [ICRA]AA+ (Positive)/[ICRA]A1+)[1]. CIFCL is also the servicer for the transaction.

The ratings reaffirmation factors in the build-up of the credit enhancement cover over the future PTC payouts on account of the moderate amortisation and healthy performance of the pool. The ratings also draw comfort from the fact that the breakeven collection efficiency is comfortably below the actual collection level observed in the pool till the September 2026 payout month.

Pool performance summary

Parameter	PLATINUM TRUST JUN 2025 - TRANCHE I
Payout month	September 2026
Months post securitisation	14
Pool amortisation (as % of initial pool principal)	41.6%
Amortisation - PTC Series A and PTC Series B	41.6%
Cumulative collection efficiency[2]	98.5%
Loss-cum-90+ dpd[3] (% of initial pool)	0.7%
Loss-cum-180+ dpd[4] (% of initial pool)	0.3%
Cumulative cash collateral (CC) utilisation	0.0%
Breakeven collection efficiency[5] for PTC Series A and PTC Series B	81.9%
Cash collateral (CC; % of balance pool)	12.0%
Excess interest spread (EIS; % of balance pool) for PTC Series A[6]	9.9%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions.*

[2] *(Cumulative current and overdue collections till date)/(Cumulative billing till date + Opening overdues at the start of the transaction)*

[3] *Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 90 days, as a % of Initial pool principal*

[4] *Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 180 days, as a % of Initial pool principal*

[5] *(Balance cash flows payable to investor – CC available)/Balance pool cash flows*

[6] *(Pool interest – Interest to PTC A)/Pool principal outstanding*

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout on a pro rata basis to PTC Series A and PTC Series B. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) on a pro rata basis to both series but is promised on the final maturity date. Any prepayment in the pool would be used for the prepayment of both series on a pro rata basis. The residual cash flows from the pool, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. It is also stated that the CC, if utilised, will not be replenished from the EIS in subsequent months.

Upon the occurrence of certain predefined trigger events, the principal is expected to be paid on a monthly basis to PTC Series A (100% of the pool principal billed), and upon its full redemption, to PTC Series B. Similarly, prepayments will be made to PTC Series A, and upon its redemption, to PTC Series B.

Key rating drivers and their description

Credit strengths

Established track record of CIFCL – CIFCL, which would also be servicing the loans the transaction, has an established track record of more than four decades in the lending business with adequate underwriting policies and collection procedures across a wide geography. The company has adequate processes for servicing of the loan accounts in the securitised pools.

Build-up of credit enhancement available in the structure – The rating factors in the build-up of credit enhancement for the transaction, with a higher cash collateral available as a percentage of the balance pool principal as compared to the initial cash collateral at time of securitisation. Internal credit support is also available through scheduled EIS for the pool.

Healthy pool performance – The delinquency for the pool has remained low with the loss cum 90+ days past due (dpd; as percentage of initial pool principal) below 1.0% in the last 12 months. Further, the performance of the pool has been healthy with the cumulative collection efficiency of over 98%, comfortably above the break-even collection efficiency levels.

Credit challenges

High loan-to-value (LTV) contracts – Proportion of contracts with loan-to-value (LTV) ratio of more than 80% is high at ~69% (in terms of the balance pool principal outstanding). High share of high LTV loans in the pool augments the risk given the moderate borrower profile and their incomes being susceptible to economic downturns.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during their tenure of 2.00% for the pool. The average prepayment rate for the underlying pool is modelled in the range of 4.8% to 18.0%. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transactions are as follows:

Transaction name	PLATINUM TRUST JUN 2025 - TRANCHE I
Originator	Cholamandalam Investment and Finance Company Limited
Servicer	Cholamandalam Investment and Finance Company Limited
Trustee	IDBI Trusteeship Services Limited
CC holding bank	Axis Bank Limited
Collection and payout account bank	MUFG Bank

Liquidity position

Strong for PTC Series A and PTC Series B

The liquidity for PTC Series A and PTC Series B is strong after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement would be ~5.00 times the estimated loss in the pool for both the instruments.

Strong for Second Loss Facility

The liquidity for the Second Loss facility (SLF) is strong as any shortfall in PTC payouts will be first paid by utilising the First Loss Facility (FLF). SLF could be drawn only after FLF is fully utilised.

Rating sensitivities

Positive factors – Not applicable for PTC Series A and PTC Series B

The rating of SLF can be upgraded, provided there is sustained strong collection performance of the underlying pool contracts, resulting in an increase in the credit enhancement cover available for SLF.

Negative Triggers - Pressure on the rating could emerge due to sustained weak collection performance of the underlying pool (monthly collection efficiency of <90%), leading to higher-than-expected delinquency levels and CE utilization levels. Weakening in the credit profile of the servicer (CIFCL) could also exert pressure on the rating. The rating of PTC Series B could also come under pressure upon occurrence on the specific trigger events mentioned as part of the transaction structure.

Analytical approach

The rating action is based on the performance of the pool till the September 2026 payout month, the present delinquency profile of the pool of contracts, the performance expected over the balance pool tenure, and the credit enhancement available in the transaction.

Analytical approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

CIFCL, a non-banking financial company, is a part of the Chennai-based Murugappa Group of companies. Incorporated in 1978, it operates through 1,761 branches across 26 states and 7 Union Territories (UTs) with net AUM of Rs. 2,24,334 crore as of March 2026. The company's core business segments include vehicle finance (55%) and HE loans (18%). CIFCL has forayed into three new business divisions in the consumer and SME ecosystem, namely CSEL, SBPL and SME, which contributed 17% to AUM, while housing finance (7%) accounted for the rest. As of March 2026, CIFCL had two wholly-owned subsidiaries, Cholamandalam Leasing Limited and Cholamandalam Securities Limited, a joint venture with Payswiff Technologies Private Limited, and an associate entity – Vishvakarma Payments Private Limited.

In FY2026, CIFCL (standalone) reported a net profit of Rs. 5,220 crore on a managed asset base of Rs. 2,55,372 crore compared with Rs. 4,259 crore and Rs. 2,07,874 crore, respectively, in FY2025. In FY2026, CIFCL (consolidated) reported a net profit of Rs. 5,229 crore on a managed asset base of Rs. 2,55,750 crore compared with Rs. 4,260 crore and Rs. 2,08,113 crore, respectively, in FY2025.

Key financial indicators (audited)

CIFCL (Standalone)	FY2025	FY2026	Q1 FY2027*
Total income	26,055	31,445	8,933
Profit after tax	4,259	5,220	1,654
Total managed assets^	2,07,874	2,55,372	2,68,352
Gross stage 3	2.8%	3.1%	3.3%
CRAR	19.8%	19.2%	19.8%

*Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore; ^Managed Assets= Total assets (as per balance sheet) + Assignment book; *Limited review*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)				Chronology of rating history for the past 3 years			
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				October 22, 2026	October 17, 2025	July 31, 2025	-	-
PLATINUM TRUST JUN 2025 - TRANCHE I	PTC Series A	2,520.10	1,470.72	[ICRA]AAA(SO)	[ICRA]AAA(SO)	Provisional [ICRA]AAA(SO)	-	-
	PTC Series B	132.64	77.41	[ICRA]AAA(SO)	[ICRA]AAA(SO)	Provisional [ICRA]AAA(SO)	-	-
	Second Loss Facility	39.79	53.05	[ICRA]A-(SO)	[ICRA]A-(SO)	Provisional [ICRA]A-(SO)		

Complexity level of the rated instrument

Instrument	Complexity indicator
PTC Series A	Highly Complex
PTC Series B	Highly Complex
Second Loss Facility	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click here

Annexure I: Instrument details

Trust name	Instrument	Date of issuance /Sanction	Coupon rate (p.a.p.m.)	Maturity date	Current rated amount (Rs. crore)	Rating	Financial Sector Regulator#
PLATINUM TRUST JUN 2025 - TRANCHE I	PTC Series A	July 29, 2025	7.40%	December 20, 2031	1,470.72	[ICRA]AAA(SO)	RBI
	PTC Series B		7.40%		77.41	[ICRA]AAA(SO)	RBI
	Second Loss Facility		-		53.05	[ICRA]A-(SO)	RBI

Source: Company;

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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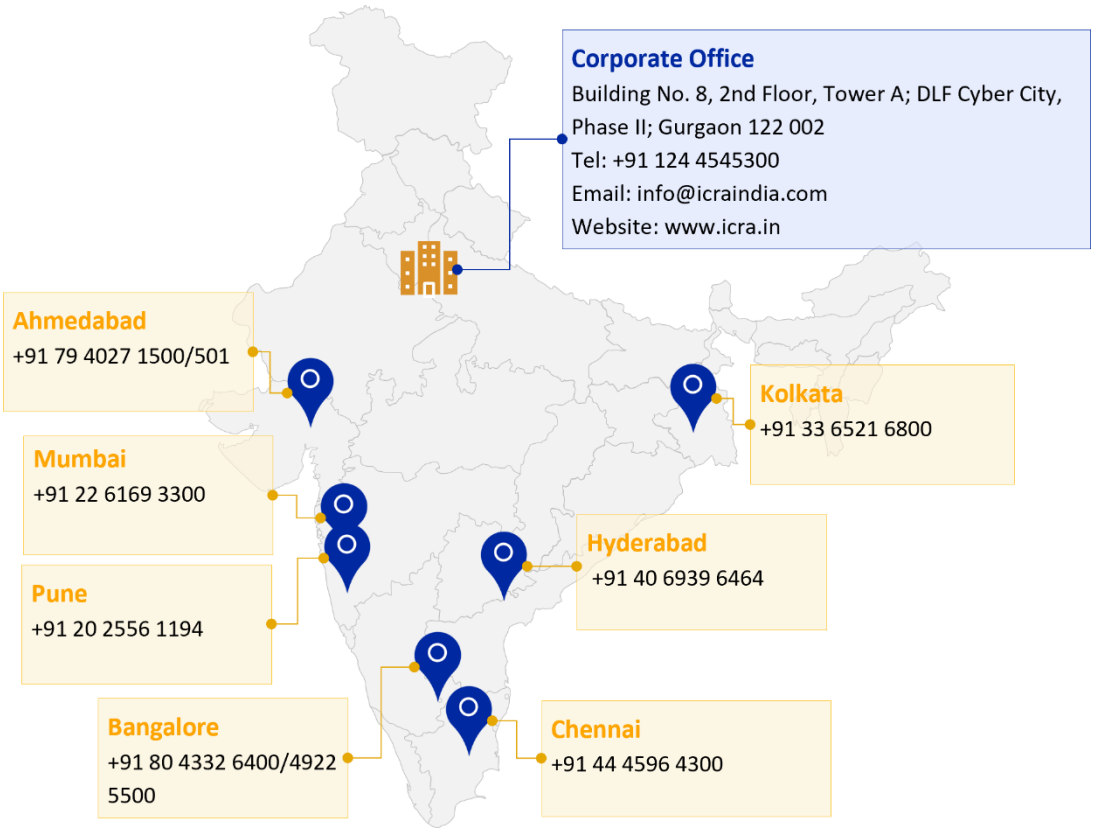
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